

Management, its Environment and Culture

Principles of Management -
2nd Edition

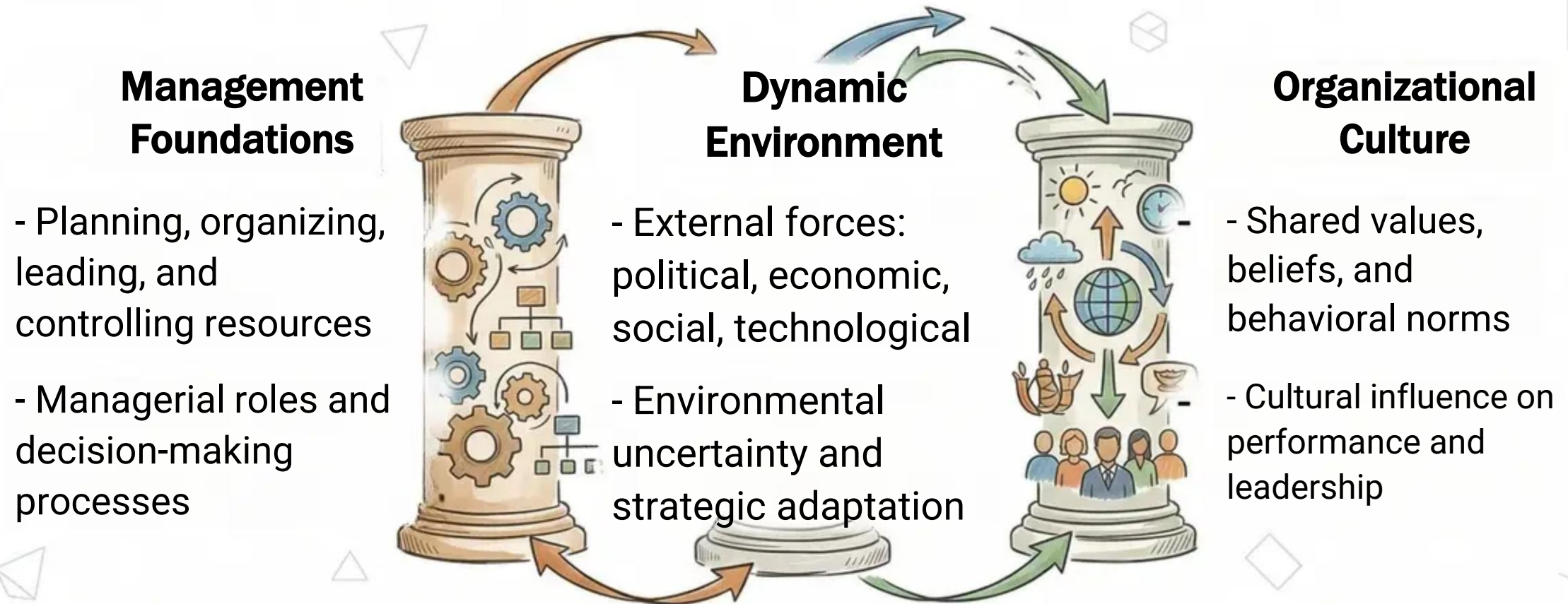
Borges, Lee, Ramasamy, Piaralal, Ismail, Koon (2023)

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Introduction to Management Principles

**Modern management integrates traditional functions with contemporary challenges in our globalized, multicultural world."*



Defining Management

Management is the process of planning, organizing, leading, and controlling resources to achieve organizational goals efficiently and effectively.

The Four Core Functions:

- Planning
- Organizing
- Leading
- Controlling

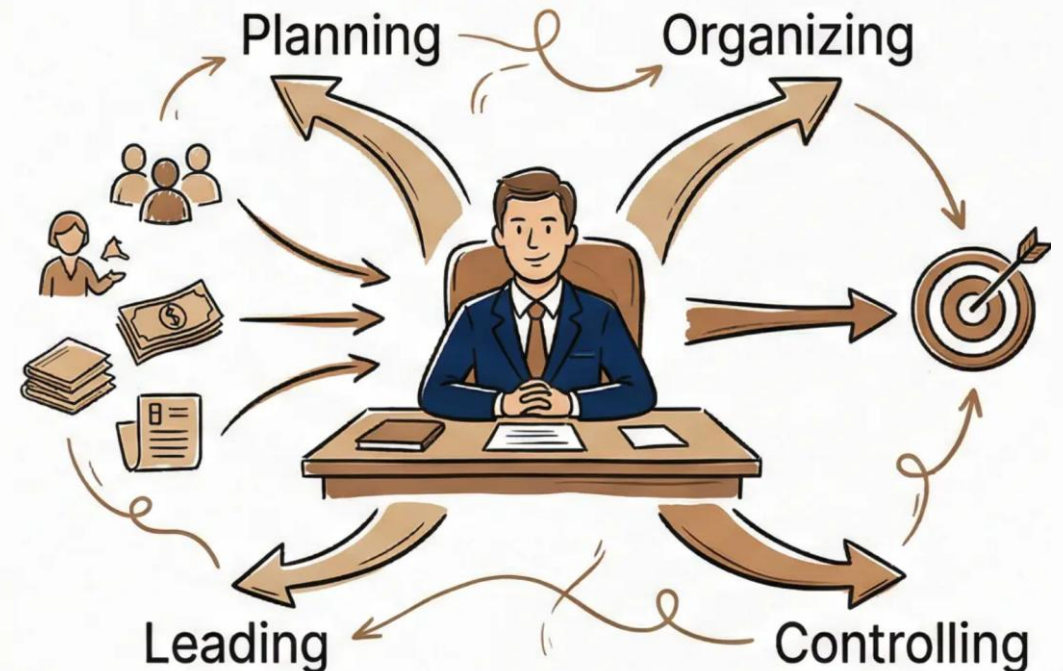
Dual Focus:



- Efficiency - Doing things right

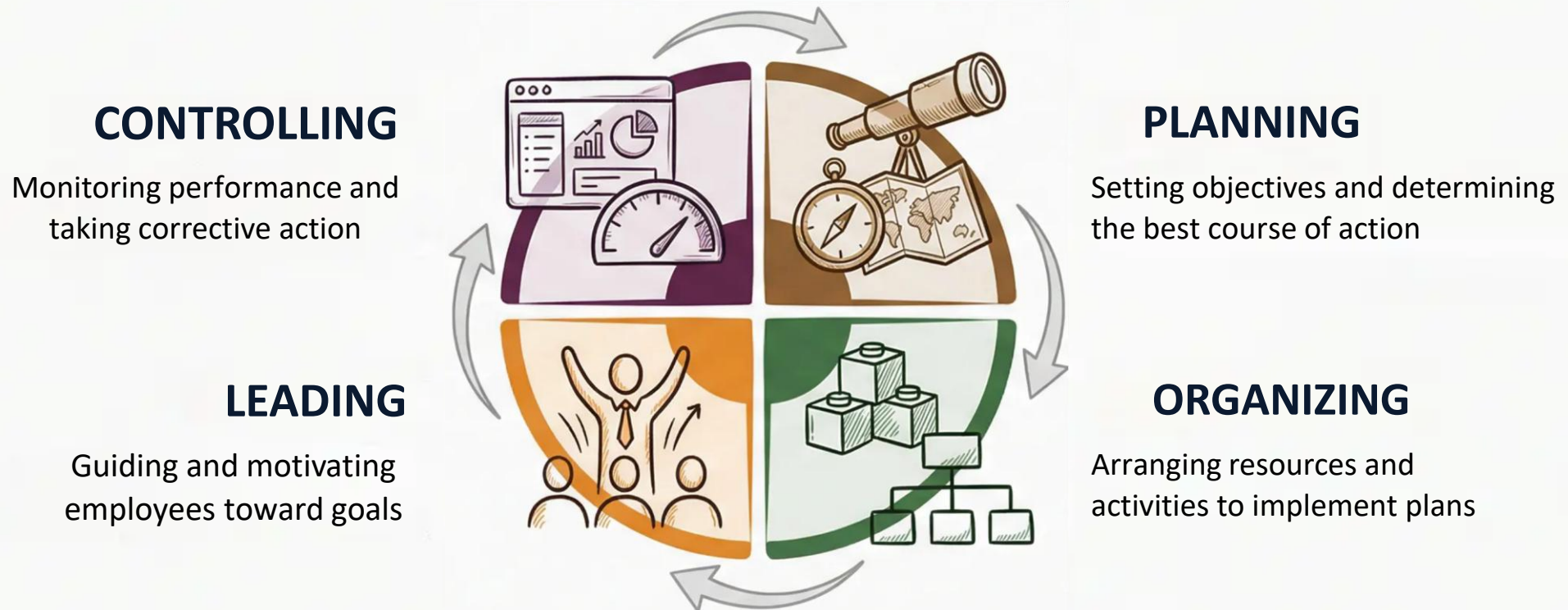


- Effectiveness - Doing the right things



The Four Functions of Management

The Building Blocks of Managerial Success



These functions are interdependent and continuous
Planning informs organizing, leading supports execution, controlling provides feedback

Planning and Organizing Functions

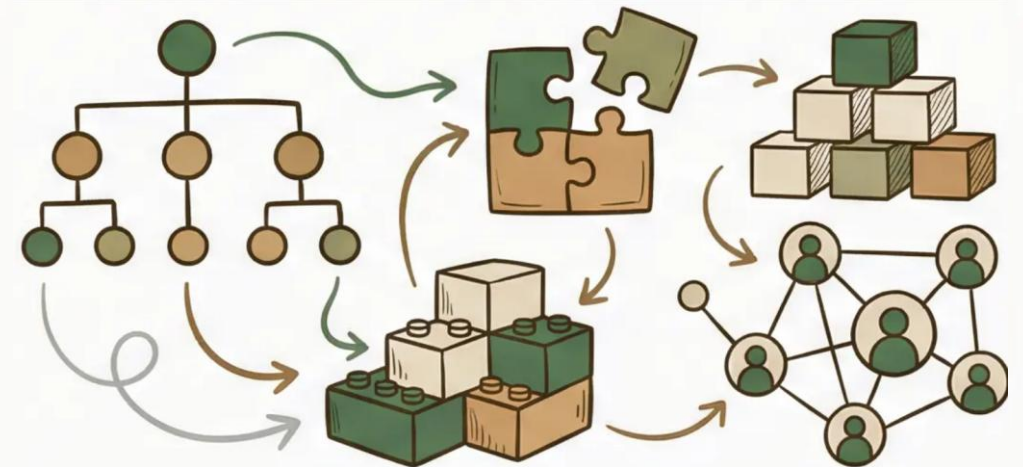
Planning

- Setting clear objectives and goals
- Determining strategic courses of action
- Anticipating future challenges and opportunities
- Resource allocation and timeline development



Organizing

- Arranging and coordinating resources effectively
- Designing optimal organizational structures
- Assigning roles and responsibilities clearly
- Creating communication channels and workflows



Leading and Controlling Functions

Leading

- Motivating employees toward goals
- Influencing behavior and attitudes
- Building team cohesion
- Inspiring innovation and creativity
- Communicating vision effectively



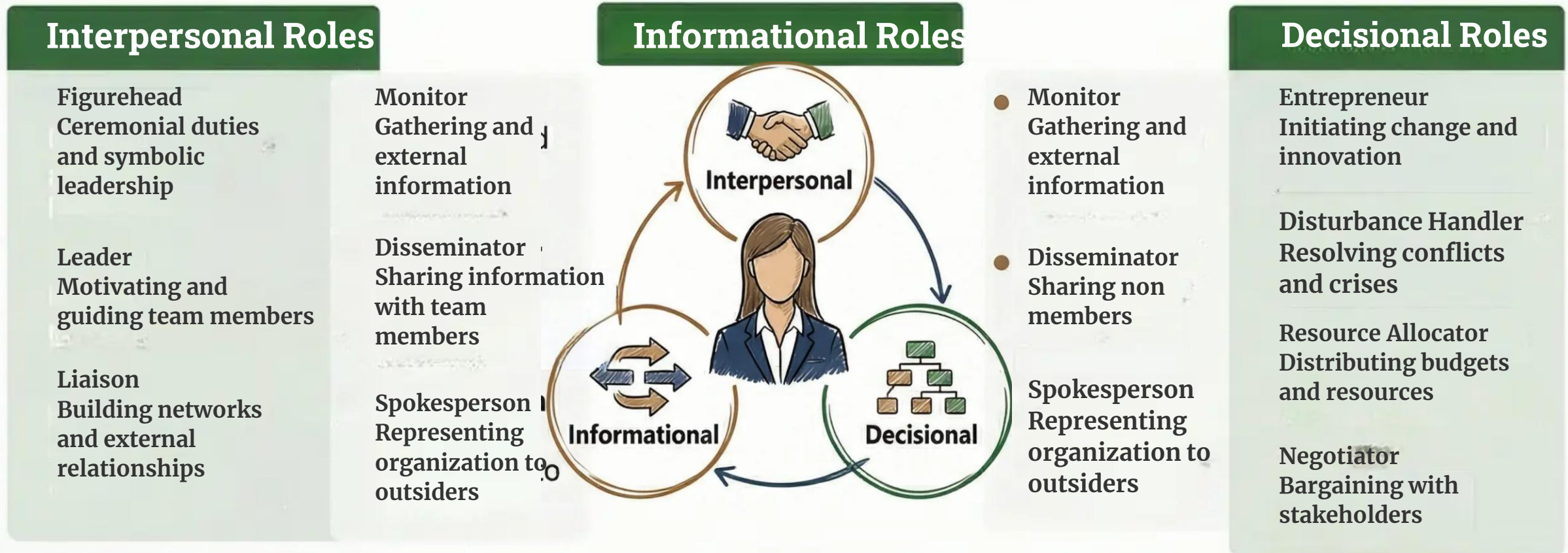
Controlling

- Setting performance standards
- Measuring actual results
- Comparing performance to goals
- Taking corrective action when needed
- Ensuring quality and efficiency



Mintzberg's Managerial Roles

Beyond the Four Functions: What Managers Actually Do

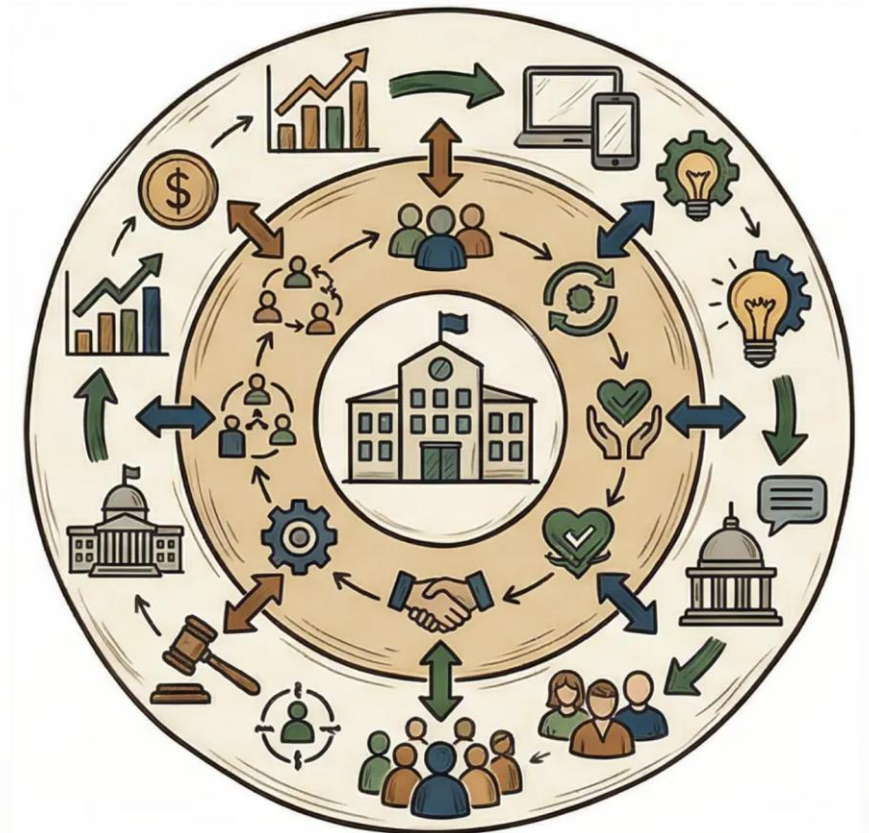


In Practice: A hospital administrator may act as figurehead at a ceremony (interpersonal), share policy updates with staff (informational), and allocate the annual budget (decisional) - all in one day!

The Management Environment

Organizations operate within a complex system of internal and external forces

- Internal Forces: Culture, structure, resources, capabilities
- External Forces: Economic, political, social, technological factors
- Dynamic Interaction: Constant adaptation and response required
- Strategic Impact: Environment shapes opportunities and constraints



External Environment: PESTEL Framework

Analyzing Macro-Level Environmental Forces



Key Insight Box: PESTEL helps managers anticipate external changes and prepare strategic responses

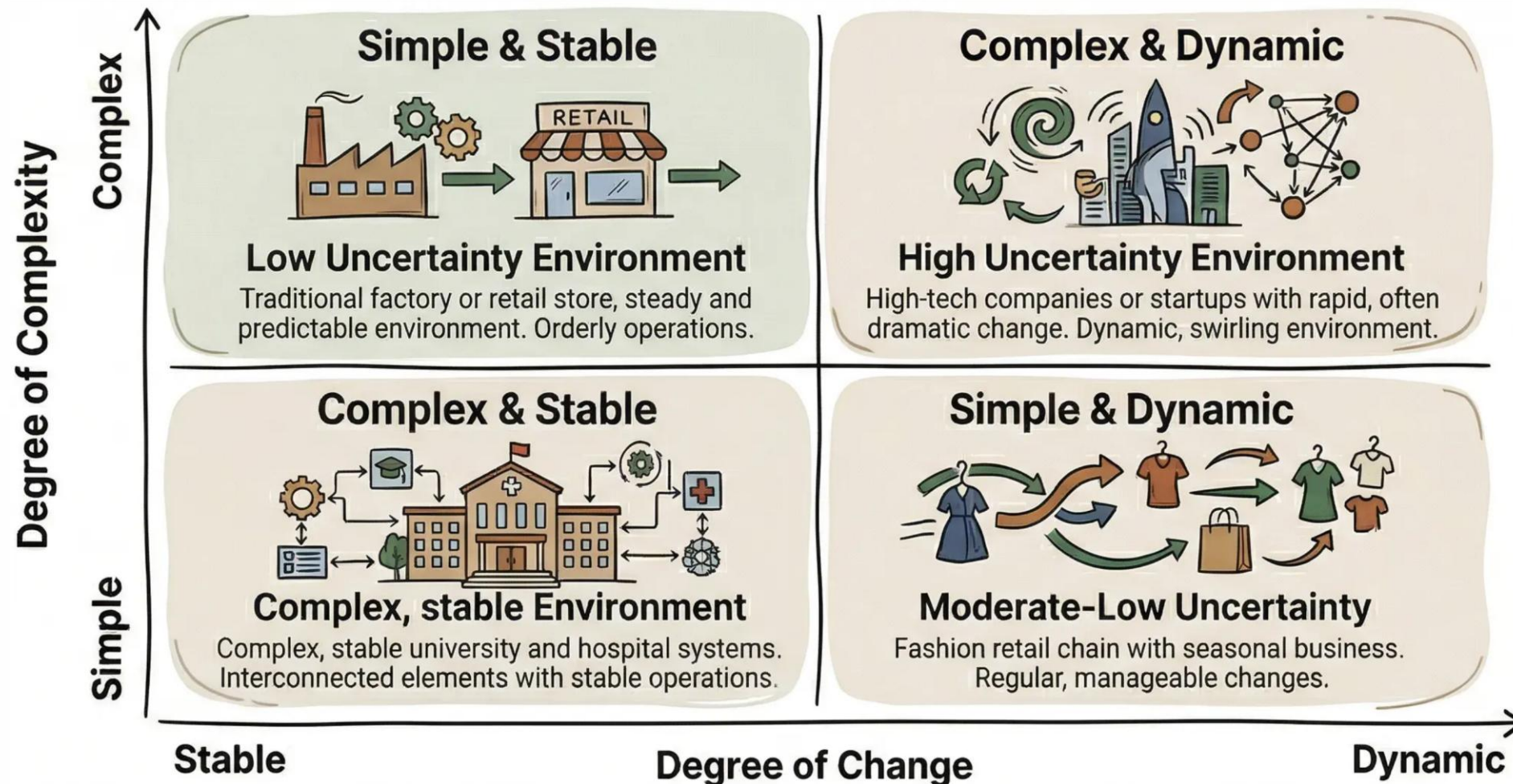
The Task Environment

Stakeholders with Direct Operational Impact



Environmental Uncertainty

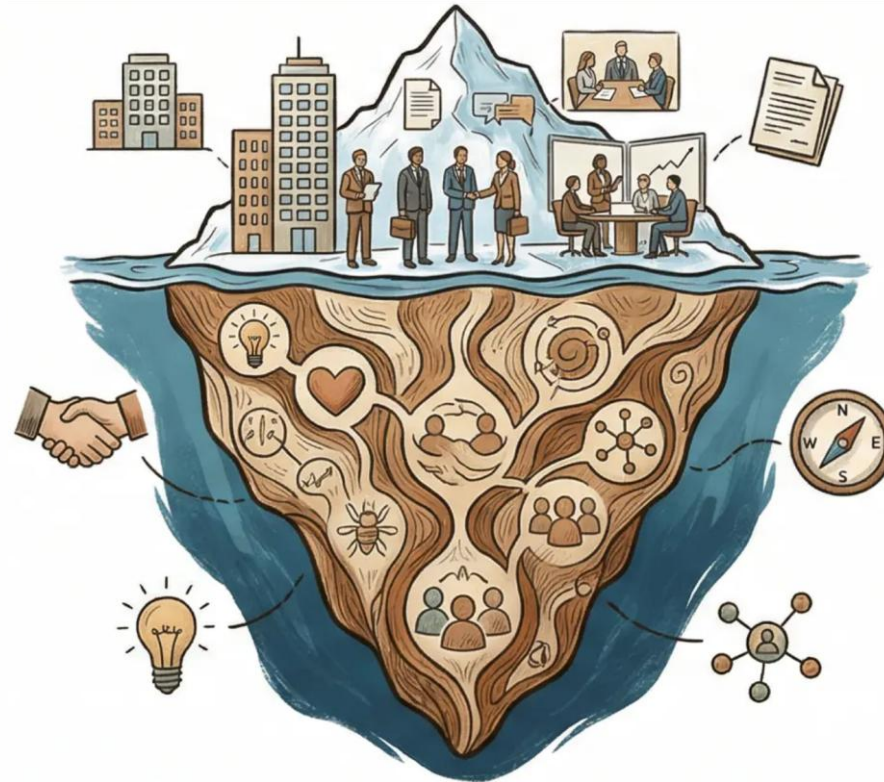
Classifying Business Environments



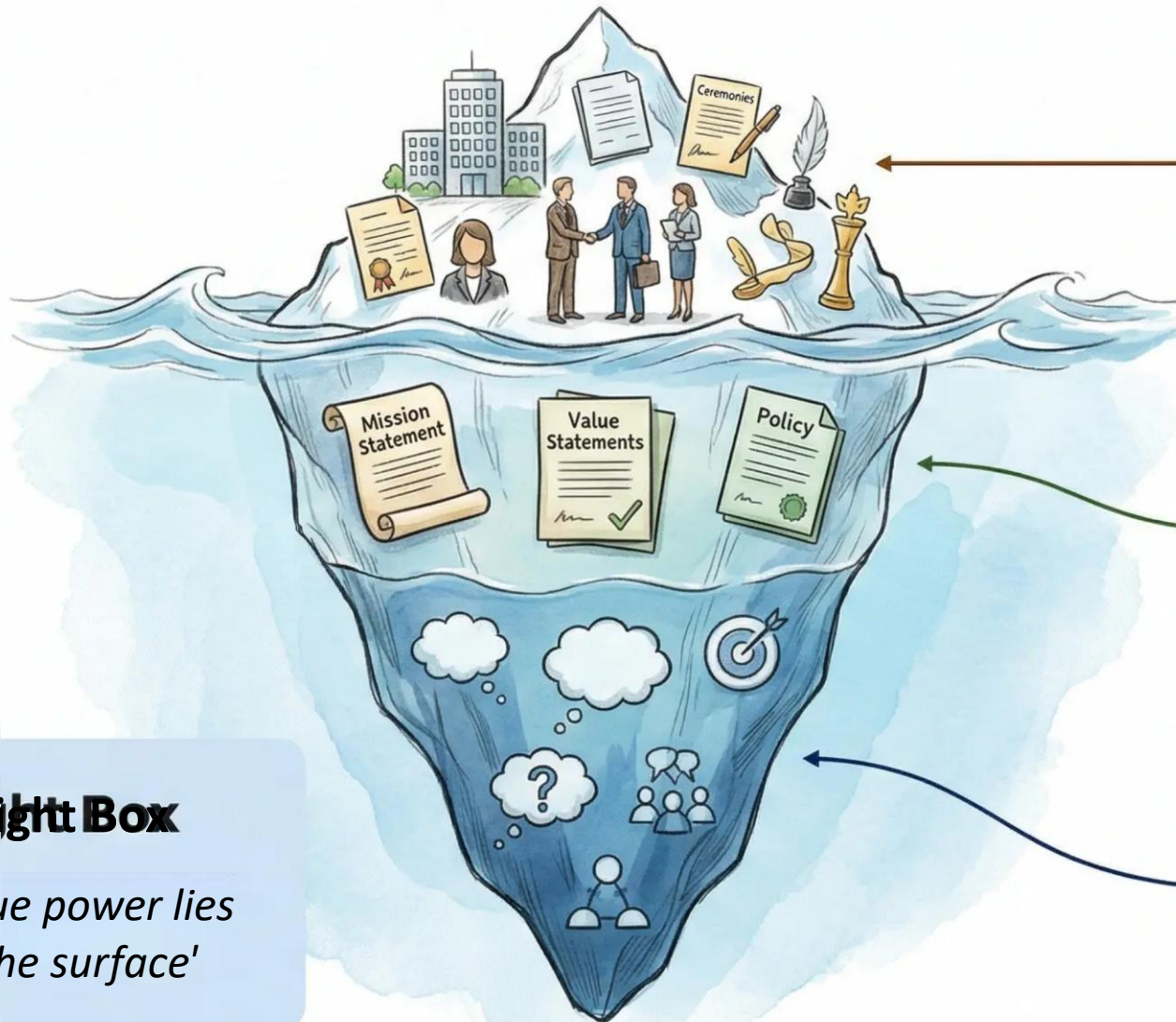
Understanding Organizational Culture

- Culture operates like an invisible framework
- Influences daily behaviors and decision-making
- Shapes communication patterns and work relationships
- Determines what is considered 'normal' or 'acceptable'

Culture is a system of shared assumptions, values, and beliefs that guides how people think, act, and make decisions within an organization.



Edgar Schein's Levels of Culture



Visible Elements

Artifacts

- Office layout and design
- Dress codes and rituals
- Language and symbols
- ceremonial and stories

Stated Beliefs

Espoused Values

- Mission statements
- Corporate policies
- Declared goals
- Official philosophies

Deep Beliefs

Basic Assumptions

- Human nature views
- Unconscious beliefs
- Taken-for-granted truths
- Core worldviews

Key Insight Box

'Culture's true power lies beneath the surface'

Culture Types: Competing Values Framework

Four Primary Organizational Culture Types



CLAN CULTURE

Collaborative & Family-like

- Employee-centered approach
- Team collaboration focus
- Participative leadership
- High morale emphasis

ADHOCRACY CULTURE

Innovative & Entrepreneurial

- Risk-taking encouraged
- Creativity and flexibility
- Visionary leadership
- Rapid adaptation



MARKET CULTURE

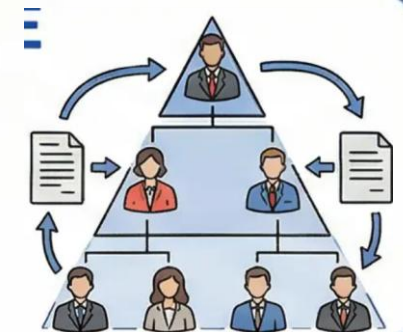
Results-driven & Competitive

- Performance-focused
- Goal achievement priority
- Directive leadership
- Competitive environment

HIERARCHY CULTURE

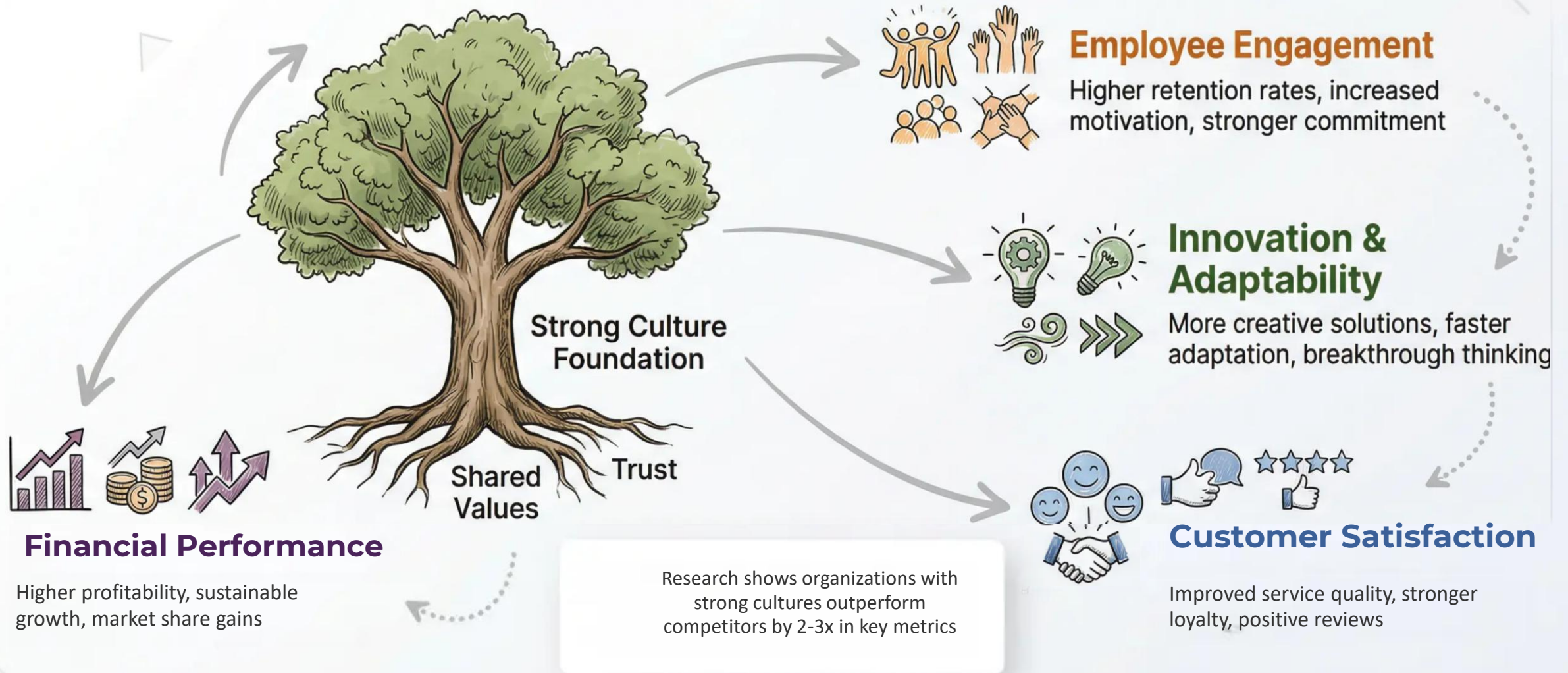
Structured & Process-oriented

- Stability and control
- Clear procedures
- Consistency emphasis
- Formal structure



Culture and Organizational Performance

The Performance Connection



Culture's Influence on Management Practices

How Cultural Values Shape Management Functions



Globalization and Cultural Diversity

The Global Business Reality

- Modern organizations operate across borders and cultures
- Teams include members from diverse cultural backgrounds
- Success requires understanding and adapting to cultural differences
- Communication styles vary significantly across cultures
- Decision-making processes reflect cultural values and norms



Communication Challenges

- Challenges
- Direct vs. indirect communication styles
- High-context vs. low-context cultures
- Language barriers and translation nuances
- Non-verbal communication differences



Decision-Making Variations

- Challenges
- Individual vs. consensus-based decisions
- Risk tolerance and uncertainty avoidance
- Time orientation and planning horizons
- Authority and hierarchy expectations



Teamwork Dynamics

- Collaborative vs. competitive building competitive orientations
- Relationship building

Cultural Intelligence (CQ) is the key competency for global managers - the ability to function effectively across cultural boundaries while respecting and leveraging diversity.



Hofstede's Cultural Dimensions

Framework for Cross-Cultural Management

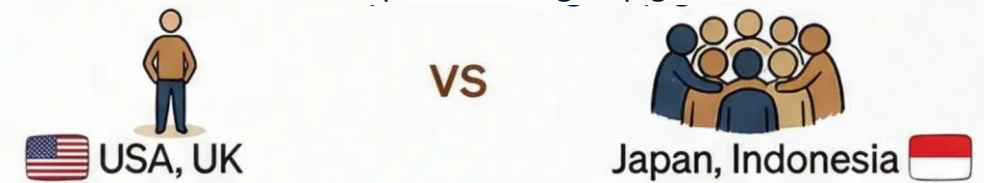
Power Distance

Acceptance of hierarchical authority



Individualism vs Collectivism

Focus on personal vs group goals



Uncertainty Avoidance

Comfort with ambiguity and change



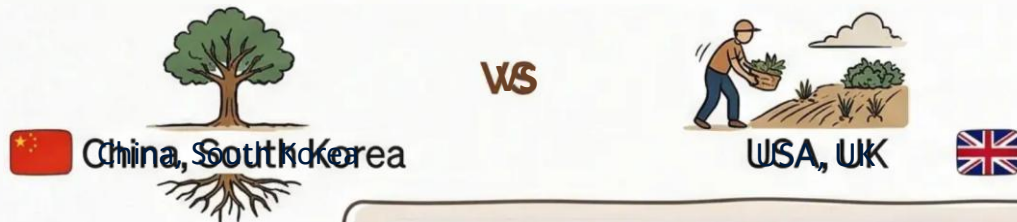
Masculinity vs Femininity

Achievement vs quality of life focus



Long-term vs Short-term Orientation

Future vs immediate results focus



Indulgence vs Restraint

Expression vs control of desires



Cultural intelligence requires understanding these dimensions to adapt leadership styles and communication approaches in global teams

Cultural Intelligence (CQ)

The Four Components of Cross-Cultural Effectiveness

Cognitive CQ

- Understanding Cultural Systems
 - Knowledge of cultural values, norms, and practices
 - Awareness of how culture shapes behavior



Motivational CQ

- Drive to Engage
 - Confidence and persistence in cultural adaptation
 - Enjoyment of diverse cultural experiences



Metacognitive CQ

- Cultural Self-Awareness
- Planning and monitoring cross-cultural interactions
- Checking assumptions and adjusting strategies



Behavioral CQ

Adaptive Actions

- Flexibility in verbal and non-verbal communication
- Adjusting behavior to cultural contexts



High CQ enables managers to build trust, reduce misunderstandings, and create inclusive environments in multicultural teams

Diagnosing and Changing Culture

Culture diagnosis is the critical first step - you cannot change what you don't understand

Three Essential Diagnostic Tools



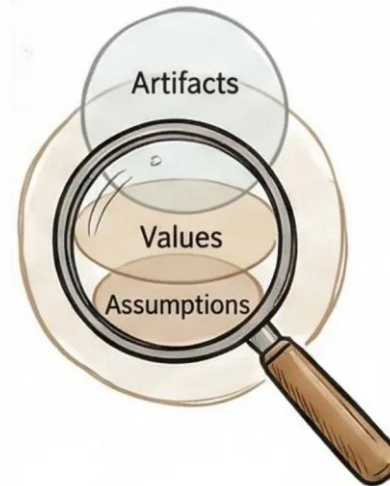
1. Cultural Audits

- Systematic evaluation of practices, policies, and behaviors
- Identifies alignment between stated and actual values



2. Employee Surveys

- Anonymous feedback on workplace perceptions
- Gathers insights on fairness, communication, and morale



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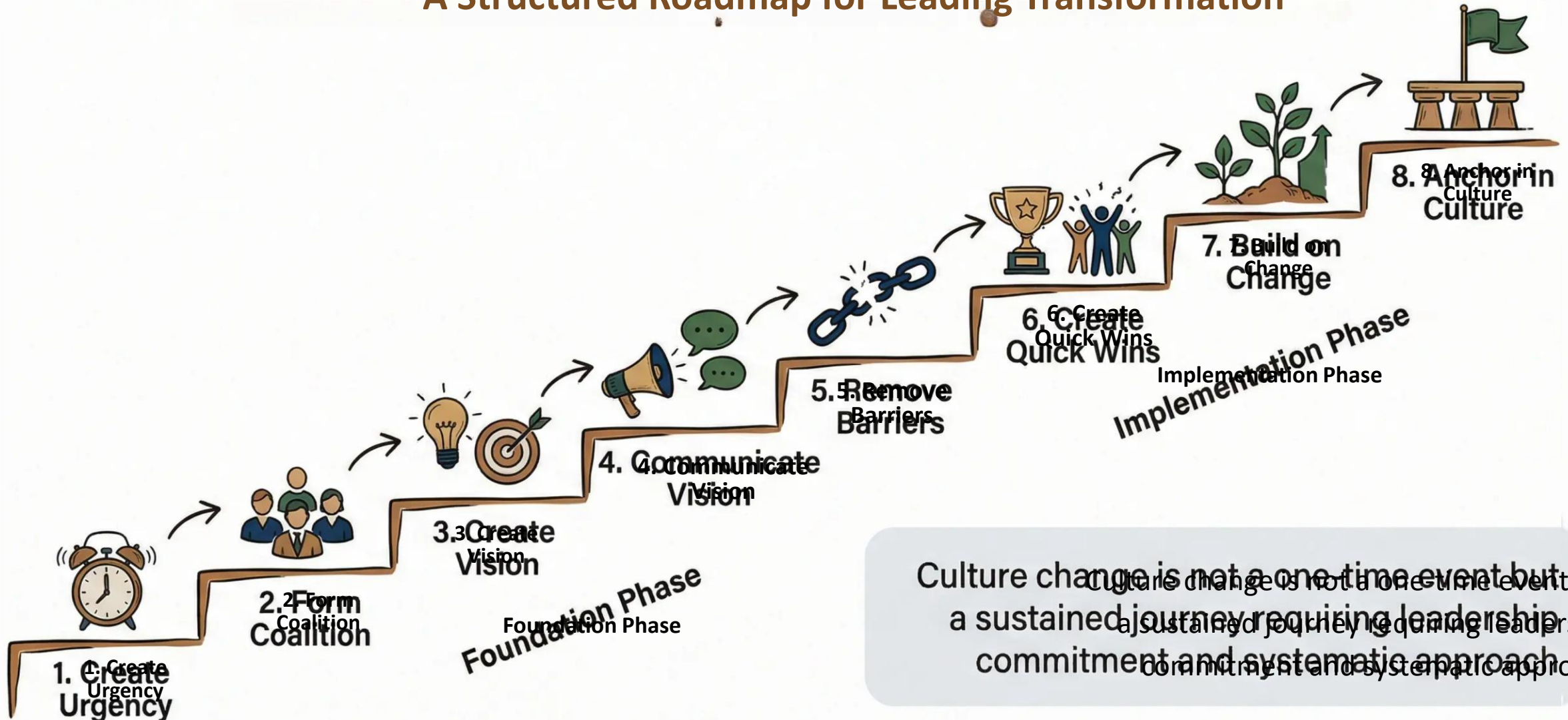
3. In-Depth Interviews

- One-on-one discussions across organizational levels
- Uncovers unspoken norms and underlying assumptions

Diagnose → Understand → Plan → Transform

Kotter's 8-Step Model for Culture Change

A Structured Roadmap for Leading Transformation



Ethics and Organizational Climate



Characteristics of Strong Ethical Climate:

- Transparency in decision-making and communication
- Accountability at all organizational levels
- Open reporting channels and whistleblower protection
- Leadership modeling ethical behavior
- Consistent consequences for misconduct



Organizations with integrity-driven cultures experience:

- Reduced risk of scandals and legal issues
- Higher employee trust and engagement
- Stronger stakeholder relationships
- Enhanced reputation and brand value



Ethical climate refers to the prevailing atmosphere regarding ethical behavior in an organization



Islamic Management Principles

Integrating Spiritual Values into Modern Management Practice

Sidiq (Honesty)

Truthfulness in all business dealings, communication, and reporting

Adl (Justice)

Fairness and equity in decision-making and employee treatment



Amanah (Trustworthiness)

Responsibility and accountability in safeguarding organizational resources

Mas'uliyah (Accountability)

Personal responsibility for actions and ethical standards

These principles create a holistic management framework that emphasizes ethics, social responsibility, and long-term sustainability

Case Studies: Local and Global

Real-World Applications of Management and Culture

Malaysian SME: Cultural Diversity Success

- Manufacturing firm with multicultural workforce
 - Challenge: Economic volatility + cultural differences
 - Solution: Culture of Collaboration initiative
 - Results: 25% productivity increase, market expansion



Tech Firm: Vietnam Market Entry

- US technology company expanding to Southeast Asia
 - Challenge: Western vs. Vietnamese cultural clash
 - Solution: Cultural Intelligence approach
 - Results: 40% satisfaction increase, revenue targets met



Summary and Conclusion

Effective management requires a holistic approach:
environmental awareness + cultural strength =
sustainable competitive advantage

- Management functions are interdependent and culturally influenced
- Environmental forces shape strategic decisions and organizational responses
- Organizational culture serves as both strategic asset and control mechanism
- Cultural intelligence enables success in diverse, global contexts
- Ethical leadership and values alignment drive long-term sustainability



**The most effective managers combine traditional management skills
with deep cultural awareness and ethical leadership.**